

in mind, the first thing you should start doing with your money is building an emergency fund.

Financial experts typically suggest having anywhere from three to six months' worth of living expenses saved in case of emergency. This is not an investment, but a stash of money held in a savings account, ready to go in case you need it. Until you have an emergency fund, you should hold off on investing or aggressively paying off your debt (you still need to be paying it off, just don't throw all your money at it). Some young people are fortunate enough to rely on friends and family members to help them should they run into an emergency. If you are one of these people, you should still speak with your supporters to find out how much they realistically could provide if an emergency hits.

After you have established your emergency fund, you can focus on contributing more toward your debt, savings, or investments. There is some debate as to how much you should pay toward debt versus how much you should be investing, but essentially, this decision comes down to interest rates. If you can get a return on your investment that is higher than the interest you pay toward your loans, it is wiser to put more money toward your investments. Personally, I dislike having debt, and I believe the feeling of freedom that comes from being debt-free can have incredible benefits for your mindset and well-being. Also, investments are not guaranteed. You may be making a high return on your investments now, but this does not mean you will always be making the same return.

More Money Does Not Mean More Spending

One advantage of being broke when you are young is that you adapt to living on a small budget. But if all things go well, you will begin having a bit more cash as you get older. This can happen